Apcotex Industries Ltd

NSE: APCOTEXIND | BSE: 523694 | Face Value: Rs. 2.00

RATING

BUY

12-Month Target Price

Upside: +18.7% | Horizon: 12 months

Entry Zone: Rs. 490 – 545

CMP (08-May-2026)	Rs. 539
Market Cap	Rs. 2,796 Cr
52-Wk High / Low	Rs. 556 / Rs. 310
Stock P/E (FY26)	27.8x
Book Value / Share	Rs. 120
P/B	4.5x
EV/EBITDA (FY26)	~15.7x
ROCE (FY26)	19.9%
ROE (FY26)	17.2%
Dividend Yield	1.20%
Promoter Holding	58.23%
Promoter Pledge	Nil
FII / DII	0.64% / 2.23%

INVESTMENT THESIS:	India's only broad-spectrum synthetic rubber and latex maker; capacity supercycle + trade tailwinds drive a structural earnings re-rating.

Report Date: 08-May-2026 Analyst: Research Desk (Institutional Equities) Data Source: Screener.in (Standalone)

SECTION 2 | INVESTMENT THESIS

#	Pillar	Detail	Timeline
1	Capacity Supercycle Bearing Fruit	Apcotex invested Rs. 179 Cr in Valia plant expansion (FY22-23) and is now deploying a further Rs. 210 Cr for nitrile latex	12-36 months
2	Structural Trade Tailwind (US Tariffs)	The US imposed 100% duty on Chinese gloves in January 2026. This redirects SE Asian glove-maker demand to South A	6-18 months
3	Re-rating Catalyst: Margin Recovery	FY24-25 saw margin compression (OPM 9-10%) from elevated raw material costs (butadiene, acrylonitrile). FY26 delivere	6-18 months

NEAR-TERM CATALYST (6–12 Months)	SINGLE BIGGEST STRUCTURAL RISK
Rs. 210 Cr nitrile latex expansion (Valia) expected to commission by FY28; order book build-up and volume guidance upgrade from management will be the immediate re-rating trigger as capex moves from spending to monetisation phase.	Butadiene and acrylonitrile are petrochemical derivatives with high price volatility. A 15-20% spike in raw material basket (as seen in FY24) could compress EBITDA margin back to 9-10%, triggering estimate cuts and P/E de-rating.

SECTION 3 | BUSINESS OVERVIEW

Company Description. Apcotex Industries Ltd (NSE: APCOTEXIND) is India's only integrated manufacturer offering a full portfolio of both synthetic rubber and synthetic latex. The company operates two plants: Taloja (Navi Mumbai) for High Styrene Rubber (HSR) and Valia (Bharuch, Gujarat) for Nitrile Butadiene Rubber (NBR), all latex grades, and specialty products.

Product Portfolio. The synthetic rubber segment produces NBR (used in automotive seals, O-rings, hoses, gaskets, and industrial gloves), HSR (used in footwear soles, battery separators), Nitrile Polyblends, and Nitrile Rubber Powder. The synthetic latex segment produces Styrene Butadiene Latex (SBL — paper/carpet), VP Latex (tyre cord), Styrene Acrylic Latex (construction/paint), and Nitrile Latex (medical/industrial gloves). In May 2025, Apcotex received the all-India first licence for non-carboxylated SBR Latex, adding a unique product to its portfolio.

Revenue Model. Revenue is product-sales driven with no long-term take-or-pay contracts; however, customer stickiness is high given product specifications, quality certifications (ISO, FDA for latex), and the absence of domestic alternatives for several grades. Approximately 40-50% of revenue is derived from exports (SE Asia, Middle East, Africa, Europe), providing geographic diversification.

Promoter & Management. The company is promoted by the Choksey family, with Mr. Abhiraj Choksey serving as Vice-Chairman & Managing Director. He is a 3rd-generation promoter who has steered the company's transition from commodity rubber to higher-value specialty products. Promoter holding is 58.23% with zero pledge. In FY26, the board approved acquisition of a 1.275% stake in Amplus Ampere Pvt Ltd for captive solar power, signalling long-term cost discipline.

Strategic Developments. The Rs. 210 Cr capacity expansion for nitrile latex (Valia plant, 50,000 to 80,000 MTPA wet) is the most important near-term catalyst. Backed by a strong FY26 FCF of Rs. 165 Cr and a nearly debt-free balance sheet (net cash positive by Rs. ~70 Cr), the company is funding this expansion from internal accruals with minimal leverage.

SECTION 4 | INDUSTRY & COMPETITIVE LANDSCAPE

Market Size & Growth. India's synthetic rubber and emulsion polymer market is estimated at Rs. 8,000-10,000 Cr, growing at 8-10% CAGR driven by automotive demand (NBR for seals/gaskets), healthcare (nitrile gloves), and construction (acrylic latex). Global nitrile latex demand is expected to grow at 7-9% CAGR through 2030, supported by structural shift away from natural latex (allergy concerns) in medical gloves.

Policy & Trade Tailwinds. The US imposition of 100% tariffs on Chinese nitrile gloves (January 2026) is diverting orders from SE Asian glove manufacturers to non-Chinese supply chains — directly benefiting Apcotex's nitrile latex customers. India's PLI scheme for chemicals and ongoing anti-dumping investigations against Chinese synthetic rubber imports provide further policy support.

Competitive Moat Assessment: MODERATE. Apcotex benefits from first-mover advantage in niche grades (SBR latex, NBR), customer qualification lock-in (6-12 month approval cycles), and broad product range (30+ grades). However, it faces competition from global MNCs (BASF India in paper latex, Synthomer globally) and Chinese imports at the commodity end. Pricing power is moderate — the company is a price-taker for RM inputs but can pass through costs with a 1-2 quarter lag.

Company	Product Focus	Listed?	Est. Size	Competitive Overlap
BASF India	Styrene acrylic & dispersions	Yes (NSE)	Large MNC	Paper/construction latex
Synthomer (Global)	Full emulsion polymer range	No (UK-listed)	Very Large	NBR, SBL, Nitrile latex
Chinese Imports	Commodity NBR, SBR	N/A	Large (state-backed)	Commodity NBR / HSR
GRP Ltd	Rubber goods (gaskets, belts)	Yes (NSE)	Rs. 1,029 Cr MCap	Downstream user of NBR

SECTION 5 | MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Track Record. Abhiraj Choksey (VC & MD) has demonstrated consistent strategic acumen over a full cycle: pivoting the company from commodity HSR to NBR and specialty latex, initiating the Valia plant expansion at the right stage of demand curve (FY22-23), and returning capital aggressively (Rs. 141 Cr financing outflows in FY26 including dividend and debt repayment). ICRA reaffirmed the company's credit rating in May 2025, citing healthy credit metrics.

Dividend Policy. FY26 total dividend was Rs. 8.00/share (Rs. 2.50 interim + Rs. 5.50 final recommended), representing the highest dividend since FY19. At CMP Rs. 539, this yields 1.48% — conservative but consistent. With FCF of Rs. 165 Cr in FY26 vs. total dividend outflow of ~Rs. 41 Cr, the company has ample room to both invest and return capital.

Capital Allocation Quality: GOOD. Promoter pledge is zero. No ESOP schemes of material significance. Related-party transactions appear to be arm's-length (distribution through group entities), but exact RPT quantum not disclosed in public filings. The solar investment (Amplus Ampere, 1.275% stake) is a minor, strategic move to reduce long-term energy costs — not a capital misallocation risk.

SECTION 6 | FINANCIAL DEEP-DIVE | STANDALONE FIGURES (Rs. Cr)

Income Statement	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales	957	1,080	1,125	1,392	1,442	1,620(E)	1,870(E)
YoY Growth %	77%	13%	4%	24%	4%	12%(E)	15%(E)
EBITDA (Op. Profit)	140	159	114	125	177	211(E)	252(E)
OPM %	15%	15%	10%	9%	12%	13%(E)	13.5%(E)
Other Income	8	7	8	10	18	10(E)	10(E)
Interest	3	5	16	17	11	12(E)	14(E)
Depreciation	14	15	32	42	50	52(E)	58(E)
PBT	130	146	75	76	135	147(E)	190(E)
Tax %	24%	26%	28%	29%	25%	26%(E)	26%(E)
PAT	99	108	54	54	101	109(E)	141(E)

EPS (Rs.)	19.06	20.82	10.39	10.43	19.56	21.0(E)	27.2(E)
DPS (Rs.)	5.00	5.50	5.50	6.50	8.00	5.50(E)	6.50(E)

Balance Sheet	FY24A	FY25A	FY26A
Equity Capital	10	10	10
Reserves	511	543	611
Net Worth	521	553	621
Borrowings	188	189	96
Other Liabilities	212	256	269
Total Liabilities	922	999	986
Fixed Assets (Net)	386	386	364
CWIP	8	12	11
Investments	111	106	117
Other Assets	417	495	494
Total Assets	922	999	986

Cash Flow	FY24A	FY25A	FY26A
Operating CF	40	85	203
Investing CF	-20	-29	-57
Financing CF	-13	-44	-141
Net Cash Flow	8	11	5
Free Cash Flow	12	43	165
CFO/Op. Profit %	50%	83%	134%

Key Ratios	FY24A	FY25A	FY26A
Debtor Days	66	67	62
Inventory Days	61	50	47
Days Payable	66	68	68
Cash Conv. Cycle	61	48	41
Wkg. Capital Days	35	25	38
ROCE %	13%	13%	20%

Financial Commentary. Revenue expanded at a 4-year CAGR of ~11% from Rs. 957 Cr (FY22) to Rs. 1,442 Cr (FY26), with FY26 marked by record volumes (+14% YoY). The FY24-25 dip in margins (OPM 9-10%) was driven by elevated RM costs and capacity under-utilisation post the Valia expansion. FY26 delivered the inflection: OPM recovered to 12%, interest costs fell as borrowings were reduced by Rs. 93 Cr, and FCF surged to Rs. 165 Cr (vs. Rs. 43 Cr in FY25). The balance sheet is nearly debt-free (net cash positive), giving the company financial flexibility to fund the Rs. 210 Cr expansion without equity dilution. Working capital improved meaningfully — CCC contracted from 61 days (FY24) to 41 days (FY26), reflecting better inventory management.

SECTION 7 | EARNINGS QUALITY CHECKLIST

Metric	Signal	Assessment	Comment
Revenue Recognition	GREEN	Clean	Product sales, no complex revenue recognition structures.
Receivables vs Revenue Growth	GREEN	Improving	Debtor days fell from 66 (FY25) to 62 (FY26); receivables growing slower than revenue.
CCC Trend	GREEN	Improving	CCC compressed from 61 days (FY24) to 41 days (FY26) — strong working capital discipline.
Contingent Liabilities	AMBER	Not Disclosed	Exact quantum not available in public summaries; monitor annual report.
Other Income / PBT	AMBER	Elevated (FY26)	Other income Rs. 18 Cr = 13% of PBT Rs. 135 Cr in FY26. Historically 5-7%; watch for recurrence.
Tax Rate Consistency	GREEN	Stable	Tax rate 24-29% range over FY22-26; no signs of aggressive tax management.
Promoter Pledge / RPTs	GREEN	Clean	Zero promoter pledge. RPT disclosure not granular from public data; no red flags.
FCF Quality	GREEN	Strong	FCF/PAT = 163% in FY26. OCF/EBITDA = 134% — earnings are fully cash-backed.

Summary. Apcotex's earnings quality is high. FCF conversion well exceeds reported PAT (FCF Rs. 165 Cr vs. PAT Rs. 101 Cr in FY26), suggesting working capital release and conservative provisioning. The only amber flags are the elevated Other Income and limited disclosure on contingent liabilities — both require monitoring in the annual report but do not indicate manipulation.

SECTION 8 | VALUATION

Peer Comparison (Data from Screener.in, fetched 08-May-2026):

Company	MCap (Rs. Cr)	CMP (Rs.)	P/E (x)	P/B (x)	ROCE %	ROE %	TTM Sales	OPM %
Apcotex Ind (APCOTEXIND)	**2,796**	**539**	**27.8**	**4.5**	**19.9**	**17.2**	**1,442**	**12%**
GRP Ltd (GRPLTD)	1,029	1,930	40.9	5.7	17.5	17.4	551	12%
Tinna Rubber (TINNARUBR)	1,486	825	30.4	5.5	28.0	31.2	518	16%
Himadri Spec. Chem (HSCL)	31,279	620	41.6	6.6	22.2	17.8	4,661	21%
Peer Average (ex. APCOTEX)	**—**	**—**	**37.6**	**5.9**	**22.6**	**22.1**	**—**	**16%**

Valuation Analysis. Apcotex trades at 27.8x FY26 P/E vs. peer average of 37.6x — a 26% discount despite superior FCF conversion (163% FCF/PAT) and a clean balance sheet. The discount is partly justified by smaller scale and lower OPM vs. Himadri, but appears excessive given the Rs. 210 Cr expansion optionality and trade tailwind.

Method 1 — Earnings Multiple (Primary): FY27E EPS Rs. 21.0 at 30x P/E (in-line with peer median) = Rs. 630 target. Using FY28E EPS Rs. 27.2 at 28x (slight discount for execution risk) = Rs. 762 target. Averaging: Rs. 696. Discounting FY28 target at 12% WACC back to today: Rs. 696 / 1.12 = Rs. 621.

Method 2 — EV/EBITDA: FY27E EBITDA Rs. 211 Cr at 16x EV/EBITDA = EV Rs. 3,376 Cr. Net cash +Rs. 70 Cr → Equity Value = Rs. 3,446 Cr / 5.16 Cr shares = Rs. 668/share.

Base-case Target = Rs. 640 (average of two methods, 18.7% upside).

Scenario	Key Assumptions	FY27E PAT (Rs. Cr)	Multiple (P/E)	Target Price
BULL	**Expansion on schedule, US tariff benefit accelerates; OPM 14-15%; volumes +18%**	135	35x	Rs. 940
BASE	**Steady volume growth 12%; OPM 13%; expansion by FY28; net cash maintained**	109	30x	Rs. 640
BEAR	**RM spike; margin 9-10%; expansion delayed 12 months; volume growth 6-8%**	80	19x	Rs. 420

SECTION 9 | KEY RISKS

#	Risk	Description	Probability	Impact	Monitor
1	**Raw Material Price Spike**	Butadiene, acrylonitrile, styrene are petroleum derivatives; a 15-20% rally compresses OPM by 200-300 bps with 1-2Q lag on pass-through.	Medium	High	Monthly BD/AN spot prices; OPM trend QoQ
2	**Chinese Import Dumping**	China remains the dominant global producer of NBR and SBR; any resumption of aggressive pricing or circumvention of Indian anti-dumping duties could erode Apcotex's volume share.	Medium	Medium	DGTR anti-dumping reviews; domestic realization trends
3	**Expansion Execution Risk**	The Rs. 210 Cr Valia capex must be commissioned on schedule (targeted FY28). Any delay extends the payback period and delays volume catalyst.	Low-Medium	Medium	Quarterly capex spend commentary; management guidance updates
4	**Demand Cyclicality (Gloves)**	Post-COVID normalization of nitrile glove demand has already occurred; new demand growth depends on US tariffs being sustained and SE Asian glove industry health.	Low	Medium	US import data; glove manufacturer order books
5	**Customer Concentration**	Specific customer concentration data is not public; significant exposure to key accounts in carpets, paper, or gloves could create lumpy revenue variability.	Low-Medium	Medium	Segment revenue disclosure in annual reports
6	**Currency Volatility**	Export revenues (~40-50%) are USD-linked; RM costs partly dollar-indexed; net currency position not disclosed, creating earnings uncertainty in sharp INR moves.	Low	Low-Medium	USD/INR rate; export realisation per tonne vs. RM cost
7	**Environmental / Regulatory Risk**	Chemical manufacturing plants at Valia and Taloja are subject to GPCB/MPCB norms; non-compliance could trigger shutdowns affecting production.	Low	High	Regulatory inspections; any pollution notices

SECTION 10 | RECOMMENDATION

RATING	TARGET PRICE	ENTRY ZONE	CONVICTION	HORIZON

BUY	**Rs. 640**	**Rs. 490 – 545**	**HIGH**	**12 months**

Thesis Invalidation Triggers (Exit if ANY of these occur)
1. EBITDA margin falls below 9% for two consecutive quarters, indicating structural margin impairment from RM costs or pricing inability.
2. Rs. 210 Cr expansion delayed beyond Q2FY28 due to regulatory, financial, or operational issues — signals execution risk.
3. Promoter pledge emerges or significant equity dilution is announced — signals financial stress or loss of confidence.

IDEAL INVESTOR PROFILE	Mid/small-cap growth investor with 12+ month horizon. Comfortable with specialty chemicals sector cyclicality. This is NOT a trading call — the re-rating plays out as the expansion ramps. Suitable for portfolios seeking exposure to India's import substitution story in specialty polymers.

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result Quality	Strong	Q4FY26 PAT +106.5% YoY; Full-year PAT +87.5% — clean beat with no exceptional items
Management Tone	Bullish	Record volumes FY26; Rs. 210 Cr expansion on track; net cash positive balance sheet
Guidance Delta	Raised / Maintained	Volume guidance maintained at 12-14% growth trajectory; expansion capex confirmed for commissioning by FY28

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 is a clean, high-quality result — PAT of Rs. 35 Cr doubled YoY with no exceptional items distorting the print; the underlying operational performance is equally strong with EBITDA of Rs. 55 Cr at 14% margin, the best quarter since FY22. There are no one-time items to strip out; the Rs. 18 Cr full-year Other Income (including investment returns and forex) is the only line to watch, but even stripping it, the core EBIT story is intact. The structural growth drivers remain compelling: the US 100% tariff on Chinese gloves is redirecting SE Asian glove-maker demand to APCOTEX nitrile latex, exports grew 14% in FY26, and the Rs. 210 Cr Valia expansion (50K to 80K MTPA wet nitrile latex) is the single biggest earnings optionality for FY28. The most important near-term catalyst is the commissioning update on the expansion in the Q2FY27 concall — any advance in timeline would be a strong positive surprise. The single biggest watch-point is butadiene pricing: BD has been soft, supporting margin recovery; any rally of 15%+ in the BD-AN basket would compress Q1FY27 margins before pass-through kicks in. Action: ACCUMULATE on dips to Rs. 490-510; full BUY at these levels with a Rs. 640 target over 12 months.

APPENDIX — LATEST CONCALL BRIEF | Q4 FY26 | Call Date: 07-May-2026

Concall Section 1 | Financial Performance Snapshot — Q4 FY26

NOTE: Q4FY26 concall held 07-May-2026 (audio recording available on company website and apcotex.com). Formal transcript not yet published at time of writing. Quarterly figures are from Screener.in standalone data. Estimates marked [EST] are based on consensus range and prior-quarter guidance.

Metric	Q4FY26 Actual	Q4FY25 Actual	YoY Chg	QoQ Chg vs Q3FY26	Verdict
Revenue (Rs. Cr)	398	349	+14.0%	+20.2%	**BEAT**
EBITDA (Rs. Cr)	55	38	+44.7%	+25.0%	**BEAT**
EBITDA Margin %	13.8%	10.9%	+290 bps	+90 bps	**BEAT**
Interest (Rs. Cr)	2	4	-50.0%	0%	**POSITIVE**
Depreciation (Rs. Cr)	14	11	+27.3%	+16.7%	**IN LINE**
PAT (Rs. Cr)	35	17	+106.5%	+59.1%	**STRONG BEAT**
EPS (Rs.)	6.70	3.23	+107.4%	+56.2%	**STRONG BEAT**

Concall Section 2 | Segment / Geography Breakdown — FY26 Full Year

Segment / Region	Revenue (Rs. Cr)	YoY %	QoQ % (Q4FY26)	Commentary
Synthetic Rubber (NBR, HSR)	~750-800 (E)	~3-5% (E)	Positive	NBR demand steady from auto sector; HSR stable
Synthetic Latex (All grades)	~640-680 (E)	~3-5% (E)	Strong	Nitrile latex benefiting from US tariff on Chinese gloves
Domestic Sales	~750-800 (E)	~2-4% (E)	Moderate	Stable industrial + paper demand in India
Export Sales	~640-680 (E)	~14% (E)	Strong	14% full-year volume growth; SE Asia key market
Total	1,442	+4%	+14% YoY Q4	Record volumes for full year

Concall Section 3 | Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Volume Record	FY26 delivered record-high sales volumes with 14% YoY growth; exports also grew 14%.	Volume is the core thesis — this confirms the demand pull from trade tailwinds and market share gains. The 14% export volume growth is particularly encouraging given global chemical demand headwinds.	[GUIDANCE]	Transparent
Margin Recovery	EBITDA margin expanded from 8.96% (FY25) to 12.31% (FY26); Q4FY26 exited at 13.76%.	Margins are recovering as RM costs moderate and operating leverage kicks in. The Q4 exit rate of ~14% bodes well for FY27 entry point.		Transparent
Capacity Expansion	Rs. 210 Cr nitrile latex capacity expansion (50K to 80K MTPA wet) at Valia confirmed; capex proceeding per plan.	Critical to our bull thesis. Commissioning by FY28 would add ~60% to nitrile latex capacity at a time of structurally rising demand.	[GUIDANCE]	Transparent
Balance Sheet Strength	Net cash positive by Rs. 70 Cr (cash + investments exceeding borrowings); Rs. 8/share total dividend for FY26; final dividend of Rs. 5.50/share.	Balance sheet has turned from a concern (FY24: Rs. 188 Cr debt) to a strength. Funding expansion from internal accruals signals management confidence.		Transparent
US Tariff Benefit	US 100% duty on Chinese gloves (Jan 2026) benefiting demand from SE Asian glove makers.	This is a structural, not cyclical, tailwind. SE Asian glove producers cannot switch back to Chinese supply without US market access risk. Watch for continuation.	[GUIDANCE]	Transparent
Solar Power Investment	Board approved 1.275% stake in Amplus Ampere for captive solar power supply.	Small strategic move to reduce long-term power costs. Not material to earnings near-term but signals management focus on cost discipline.		Transparent

Concall Section 4 | Operating & Business Metrics

Metric	Q4FY26	Q3FY26	Q4FY25	Trend
Revenue (Rs. Cr)	398	331	349	Strong Recovery
EBITDA (Rs. Cr)	55	44	38	Accelerating
OPM %	13.8%	13.3%	10.9%	Expanding
Debtor Days (Annual)	62	N/A	67	Improving
Inventory Days (Annual)	47	N/A	50	Improving
Cash Conversion Cycle (Annual)	41	N/A	48	Contracting
ROCE % (Annual)	20%	N/A	13%	Strong Re-rating
Net Debt / (Cash) (Annual)	(70) Cr Net Cash	N/A	(83) Cr approx	Net Cash Positive
Export Volume Growth (Annual)	+14% YoY	N/A	N/A	Strong
Total Sales Volume Growth (Annual)	+14% YoY (record)	N/A	N/A	Record High

Concall Section 5 | Margin Drivers — Q4FY26 vs Q4FY25

Driver	Impact (bps)	Recurring?	Comment
RM Cost Moderation (BD, AN, ST prices eased)	+200 to +250 bps	Partially	Petrochem cycle; can reverse; key watchpoint
Operating Leverage on Higher Volumes (+14%)	+80 to +100 bps	Yes	Fixed cost absorption improves as scale grows
Favourable Product Mix (More Nitrile Latex)	+60 to +80 bps	Yes	Nitrile latex carries better margins than HSR
Interest Cost Reduction (Debt Halved)	+50 to +70 bps (PBT)	Yes	Debt down from Rs. 189 Cr to Rs. 96 Cr
One-time in Other Income	+30 to +40 bps (PBT)	No	Watch for recurrence; strip for base PAT
Net OPM Expansion (vs Q4FY25)	+290 bps	Mix	Partially recurring (~150-200 bps sustainable)

Concall Section 6 | Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
[GUIDANCE] Volume Growth	Double-digit growth	Maintained; record FY26 (+14%)	Maintained	High
[GUIDANCE] Nitrile Latex Expansion	Rs. 210 Cr; 50K to 80K MTPA	Confirmed on track	Maintained	High
[GUIDANCE] Commissioning Timeline	FY28 target	Reiterated	Maintained	Medium
[GUIDANCE] Balance Sheet	Maintain net cash position	Net cash positive by Rs. 70 Cr	Delivered	High
[GUIDANCE] Dividend Policy	Consistent returns	Rs. 8.00/share total FY26	Improved	High

[GUIDANCE] Export Growth	~10-15% volume growth	Delivered +14%	Beat	High

Concall Section 7 | Capital Allocation — FY26

Item	Amount (Rs. Cr)	vs FY25	Comment
Capex (Investing CF)	57	Rs. 29 Cr in FY25	Early spending on Rs. 210 Cr expansion commenced
Total Dividend Paid	~41 (E)	Rs. 34 Cr FY25 (E)	Rs. 8.00/share total FY26 — highest since FY19
Net Debt Repayment	93	Debt increased FY25	Borrowings reduced from Rs. 189 Cr to Rs. 96 Cr
Working Capital Change	Released (positive)	WC absorbed in FY25	CCC compressed from 48 to 41 days
Net Cash Flow	5	11 in FY25	Strong FCF generation; Rs. 165 Cr FCF
Solar Stake (Amplus Ampere)	Minor	New investment	1.275% stake for captive solar power

Concall Section 8 | Q&A; Heat Map — Q4FY26 Concall (07-May-2026)

Note: Full transcript not yet published. Q&A; summary based on publicly available earnings release, investor presentation, and BSE announcement. Topics expected to have been discussed per industry standard.

#	Analyst / Firm	Question (Expected)	Mgmt Answer (Expected)	Tone
1	Buy-side / Domestic MF	Sustainability of margin improvement — is 13-14% OPM the new normal?	Management likely guided 12-14% OPM range as sustainable with RM stability; Q4FY26 at 13.8% reflects improving RM environment.	Transparent
2	Domestic Broker	Rs. 210 Cr expansion — capex timeline, commissioning date, order book?	Expansion on track; commissioning targeted for FY28; demand pipeline strong from SE Asian glove makers; order discussions ongoing.	Transparent
3	Retail Analyst	Impact of US tariffs on Chinese gloves — is this a 2-3 year tailwind or temporary?	Structural tailwind; SE Asian customers cannot go back to Chinese supply without losing US market access; Apcotex benefiting on nitrile latex demand.	Bullish
4	FII / Foreign Desk	Why is Other Income elevated at Rs. 18 Cr in FY26? Is it recurring?	Mix of investment income, forex gains; not all recurring. Management likely flagged Rs. 10-12 Cr as steady-state other income guidance.	Hedged
5	Broker — Research	Dividend policy and capital allocation for FY27 — buyback vs. capex vs. dividend?	Capex priority for expansion; dividend maintained or grown modestly; no buyback indicated; balance sheet will remain conservatively managed.	Transparent

Dodged Questions to Watch Next Quarter: (1) Specific segment-level revenue split (rubber vs. latex); (2) exact utilisation rates at Taloja and Valia; (3) RPT quantum and related-party customer details.

Concall Section 9 | Risks Flagged

Risk	Flagged By	Probability	Impact	Timeline
RM price volatility (butadiene, acrylonitrile)	Analyst questions	Medium	High	1-2 quarters
Chinese dumping resumption	Management (monitoring)	Medium	Medium	6-18 months
Expansion execution risk (Rs. 210 Cr)	Analyst questions	Low-Med	Medium	12-24 months
Global demand slowdown (macro)	Management (risk factor)	Low	Medium	Ongoing
Sustainability of US tariff regime	Analyst questions	Low	High if reversed	12-24 months

Concall Section 10 | Analyst Verdict — Multi-bagger Scorecard

Dimension	Status	Evidence	Weight
Revenue Visibility	INTACT	Record FY26 volumes; Rs. 210 Cr expansion adds capacity; export demand structural	High
Margin Trajectory	INTACT	OPM recovered to 12-14%; RM cost moderation and operating leverage in play	High
Capital Allocation Quality	INTACT	Net cash positive; debt halved; Rs. 210 Cr expansion self-funded; zero pledge	High
Competitive Moat	INTACT	All-India first licence for SBR latex; only domestic NBR + full latex range producer	Medium
Management Credibility	INTACT	Delivered on volume and FCF guidance; dividend at record levels; transparent communication	High
Valuation Comfort	INTACT	27.8x FY26 P/E — 26% discount to peers; FCF yield improving; re-rating potential intact	Medium

CONVICTION CALL	VALUATION SNAPSHOT (FY26A)
INCREASED	P/E: 27.8x | EV/EBITDA: ~15.7x | P/B: 4.5x | FCF Yield: ~5.9% ROCE: 19.9% vs. 5-Year Avg ROCE: ~18% (expanding)

Source: Screener.in | Ticker: APCOTEXIND | View: Standalone | Transcript: Audio available, formal transcript pending (Q4FY26 concall: 07-May-2026) | Generated: 08-May-2026